

Thirteenth Edition

BUSINESS ETHICS

Ethical Decision Making and Cases

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Chapter 7

Individual Factors: Moral Philosophies and Values

Learning Objectives

By the end of this chapter, you should be able to:

- Understand how moral philosophies and values influence individual and group ethical decision making in business
- Compare and contrast the teleological, deontological, virtue, and justice perspectives of moral philosophy
- Discuss the impact of philosophies on business ethics
- Recognize the stages of cognitive moral development
- Introduce white-collar crime as it relates to moral philosophies, values, and corporate culture

Icebreaker

- What does the term “philosophy” mean to you?
- What does the term “moral philosophy” mean to you?

7-1

Moral Philosophy Defined

Moral Philosophy Defined 1 of 2

- **Moral philosophy** – The specific principles or values people use to decide what is right and wrong
 - Determining how conflicts in human interests are to be settled
 - Optimizing mutual benefit of people living together in groups
- Moral philosophies are often used to defend a particular type of economic system (e.g., capitalism) and individuals' behavior within these systems
 - Adam Smith, considered the father of free-market capitalism, believed business was and should be guided by the morals of good people.
 - Some managers view profit maximization as the ultimate goal.
 - Economist Milton Friedman supported this viewpoint, contending the market will reward or punish companies for unethical conduct without the need for government regulation.
 - **Economic freedom** – A concept based on self-ownership, the right to choose, voluntary exchange, open markets, and clearly defined and enforced property rights

Moral Philosophy Defined 2 of 2

- **Economic value orientation** – Associated with values quantified by monetary means; according to this theory, if an act produces more economic value for its effort, then it should be accepted as ethical
- **Idealism** – A moral philosophy that places special value on ideas and ideals as products of the mind
- **Realism** – The view that an external world exists independent of our perceptions

7-2

Moral Philosophies

TABLE 7-2 A Comparison of the Philosophies Used in Business Decisions

Philosophy	Description
Teleology	Stipulates acts are morally right or acceptable if they produce some desired result, such as realization of self-interest or utility
Egoism	Defines right or acceptable actions as those that maximize a particular person's self-interest as defined by the individual
Utilitarianism	Defines right or acceptable actions as those that maximize total utility or the greatest good for the greatest number of people
Deontology	Focuses on the preservation of individual rights and on the intentions associated with a particular behavior rather than on its consequences
Relativist	Evaluates ethicalness subjectively on the basis of individual and group experiences
Virtue ethics	Assumes what is moral in a given situation is not only what conventional morality requires but also what the mature person with a "good" moral character deems appropriate
Justice	Evaluates ethicalness on the basis of fairness: distributive, procedural, and interactional

Moral Philosophies 1 of 10

Instrumental and Intrinsic Goodness

- **Monists** – Believe only one thing is intrinsically good
- **Hedonism** – The idea that pleasure is the ultimate good, or the best moral end involves the greatest balance of pleasure over pain
 - **Quantitative hedonists** – Those who believe more pleasure is better
 - **Qualitative hedonists** – Those who believe it is possible to get too much of a good thing
- **Pluralists** – Often referred to as nonhedonists, take the opposite position that no one thing is intrinsically good
 - Plato argued that the good life is a mixture of (1) moderation and fitness, (2) proportion and beauty, (3) intelligence and wisdom, (4) sciences and arts, and (5) pure pleasures of the soul

Moral Philosophies 2 of 10

Instrumental and Intrinsic Goodness (continued)

- **Instrumentalists** – Reject the ideas that (1) ends can be separated from the means that produce them and (2) ends, purposes, or outcomes are intrinsically good in and of themselves
 - A more modern view
- **Goodness theories** – Focus on the end result of actions and the goodness or happiness created by them
- **Obligation theories** – Emphasize the means and motives by which actions are justified, and are divided into the categories of teleology and deontology

Moral Philosophies 3 of 10

Teleology

- **Teleology** – Refers to moral philosophies in which an act is considered morally right or acceptable if it produces some desired result, such as pleasure, knowledge, career growth, the realization of self-interest, utility, wealth, or even fame
- **Consequentialism** – Teleological philosophies that assess the moral worth of a behavior by looking at its consequences
- **Egoism** – Defines right or acceptable behavior in terms of its consequences for the individual
- **Enlightened egoism** – A long-range perspective and allows for the well-being of others although their own self-interest remains paramount

Moral Philosophies 4 of 10

Teleology (continued)

- **Utilitarianism** – Seeks the greatest good for the greatest number of people
- **Rule utilitarians** – Argue that general rules should be followed to decide which action is best
- **Act utilitarians** – The rightness of each individual action must be evaluated to determine whether it produces the greatest utility for the greatest number of people

Moral Philosophies 5 of 10

Deontology

- **Deontology** – Refers to moral philosophies that focus on the rights of individuals and the intentions associated with a particular behavior rather than its consequences
- **Nonconsequentialism** – Regard for certain behaviors as inherently right, and determination of this rightness focuses on individual actor, not on society
- **Categorical imperative** – If you feel comfortable allowing everyone in the world to see you commit an act and if your rationale for acting in a particular manner is suitable to become a universal principle guiding behavior, then committing that act is ethical

Moral Philosophies 6 of 10

Deontology (continued)

- **Rule deontologists** – Conformity to general moral principles based on logic determines ethicalness
- **Act deontologists** – Hold that actions are the proper basis to judge morality or ethicalness

Discussion Activity

- What are the differences between teleology and deontology?

Discussion Activity Debrief

What are the differences between teleology and deontology?

- **Teleology**
 - Ends justifies the means
 - What's good for the person/community/society/world
- **Deontology**
 - Inalienable rights
 - Some things are inherently right/wrong

Moral Philosophies 7 of 10

Relativist Perspective

- **Relativist perspective** – Definitions of ethical behavior are derived subjectively from the experiences of individuals and groups
- **Descriptive relativism** – Relates to observations of other cultures
- **Meta-ethical relativism** – Proposes that people naturally see situations from their own perspectives, and there is no objective way of resolving ethical disputes between different value systems and individuals
- **Normative relativism** – The assumption that one person's opinion is as good as another's
- Acknowledges that people have many different views
- Observes the actions of members of an involved group
- Attempts to determine group's consensus on a given behavior

Moral Philosophies 8 of 10

Relativist Perspective (continued)

- Basic relativism acknowledges that people have many different views
- The relativist observes the actions of members of an involved group
 - Attempts to determine group's consensus on a given behavior
- One problem with relativism is it emphasizes peoples' differences while ignoring their basic similarities

Moral Philosophies 9 of 10

Virtue Ethics

- **Virtue ethics** – Argues that ethical behavior involves not only adhering to conventional moral standards but also considering what a mature person with a “good” moral character would deem appropriate in a given situation

Good corporate ethics programs encourage individual virtue and integrity.

By the employee's role in the community (organization), these virtues form a good person.

An individual's ultimate purpose is to serve society's demands and the public good and be rewarded in their career.

The well-being of the community goes hand in hand with individual excellence.

Moral Philosophies 10 of 10

Justice

- **Justice** – Fair treatment and due reward in accordance with ethical or legal standards, including the disposition to deal with perceived injustices of others
- **Distributive justice** – Based on the evaluation of the outcomes or results of a business relationship
- **Procedural justice** – Considers the processes and activities that produce a particular outcome
- **Interactional justice** – Based on the relationships between organizational members, including the way employees and management treat one another

Knowledge Check

Question: What is the difference between deontology, teleology, and virtue ethics?

7-3

Applying Moral Philosophy to Ethical Decision Making

Applying Moral Philosophy to Ethical Decision Making 1 of 1

- Individuals use different moral philosophies depending on whether they are making a personal or work-related decision.
 - Goals/pressure differ in a person's personal and professional lives.
 - Factors that make up a person's moral philosophy are weighted differently in a business (profit) situation.
 - Corporate culture has an influence.
- The concept of a moral philosophy is inexact.
 - Must be assessed on a continuum rather than as static entities
- Problems arise when employees encounter ethical situations they cannot resolve.
- Sometimes a company makes questionable decisions from the perspective of individual worker's values and moral philosophies.

7-4

Cognitive Moral Development and Limitations

Cognitive Moral Development and Limitations 1 of 2

Kohlberg's Model of Cognitive Moral Development

- **Stage 1: Punishment and obedience** – Right and wrong are not connected with any higher order or philosophy but rather with a person who has power.
- **Stage 2: Individual instrumental purpose and exchange** – Right is what serves individual needs. Individuals evaluate behavior on the basis of its fairness to them.
- **Stage 3: Mutual interpersonal expectations, relationships, and conformity** – Emphasizes the interests of others rather than simply those of themselves, although ethical motivation is still derived from obedience to rules.
- **Stage 4: Social system and conscience maintenance** – What is right is determined by considering duty to society, not just to certain other people. Duty, respect for authority, and the maintenance of the social order all become focal points at this stage.

Cognitive Moral Development and Limitations 2 of 2

Kohlberg's Model of Cognitive Moral Development (continued)

- **Stage 5: Prior rights, social contract, or utility** – Individuals are concerned with upholding the basic rights, values, and legal contracts of society. Individuals feel a sense of obligation or commitment to other groups and recognize that in some cases legal and moral points of view may conflict.
- **Stage 6: Universal ethical principles** – Right is determined by universal ethical principles everyone should follow. People have certain inalienable rights that are universal in nature and consequence. These rights, laws, or social agreements are valid not because of a particular society's laws or customs, but because they rest on the premise of universality.

7-5

White-Collar Crime

White-Collar Crime 1 of 1

- **White-collar crime** – Crimes perpetrated every year by nonviolent business criminals
- More damage in monetary and emotional loss are caused by white-collar crime in one year than by violent crimes over several years combined.
- Offenders tend to be highly educated, in positions of power, trust, respectability, and responsibility.
- Corporate culture can transcend the individual's beliefs.
 - With time, patterns become institutionalized, sometimes encouraging unethical behaviors.
- For companies with a high number of ethical or unethical employees, people who are undecided about their behavior are more likely go along with their coworkers.
- Some businesspeople may have inherently criminal personalities.

Debate Issue: Take a Stand

- White-collar crime occurs when highly trusted and educated individuals commit criminal misconduct.
- Many different theories...
 - Research shows 1% of executives may be corporate psychopaths with predisposition to lie, cheat, and take other measures to come out ahead.
 - Many believe white-collar crime evolves when corporate cultures do not have effective oversight and control over individuals' behavior.
- Take a stand:
 1. White-collar criminals tend to have psychological disorders that encourage misconduct as a route to success.
 2. White-collar crime occurs as a result of organizational cultures that do not effectively control organizational behavior.

7-6

Individual Factors in Business Ethics

Individual Factors in Business Ethics 1 of 1

- Individual moral decisions are much more complex than learning about different moral philosophies.
 - Individual values are not the only driver of ethical behavior in business.
- A personal moral compass is important but is not sufficient to prevent ethical misconduct in an organizational context.
- The development of strong abilities in ethical reasoning will probably lead to more ethical business decisions in the future than individualized character education for each employee.